



Pubali Bank Limited Consumer Credit Card Product Program Guideline

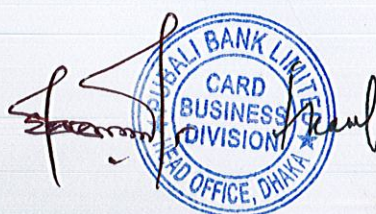
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**Card Business Division
Pubali Bank Limited, Head Office, Dhaka-1000.**



Contents	Page
1 Scope and purpose	1
2 Credit Card	1
3 Target Customer	1
4 Eligibility	1
5 Product Feature	2
6 Credit Worthiness Assessment	2
7 Delegation for Approval for Consumer Credit Card	3
8 Process Flow	4
9 Organogram	6
10 Customer Profile Verification	7
10.1 Credit Score	7
10.2 Credit Limit	9
10.3 Credit Limit Enhancement of existing customer	10
10.4 Industry wise Profit Margin	11
10.5 Calculation of Average Balance	15
10.6 Calculation of Debt Burden Ratio	15
10.7 Determination of Income and Assessment Policy	16
10.8 Different type of Bank Account and Assessment	17
10.9 Determination of Income from OD/CC Account	18
10.10 Determination of Income of Property Owner	18
10.11 Determination of Income of a Self Employed Doctor	19
10.12 Required Documents	20
10.13 Precautions	20
10.14 Duplication Check	20
10.15 Negative Listing	21
11 International Card	21
12 Risk Mitigation	22
13 Disbursement	24
13.1 Card Business Division	24
13.2 Card Operation Division	24
14 Conclusion	24





1 Scope and purpose

The Credit Card portfolio requires to be monitored on a regular basis through portfolio analysis, that includes risk and credit analysis, review of policy deviations, tracking down gray areas for improvement. This document is a guideline to assess credit worthiness of an applicant for Credit Card. The guideline is meant to be followed while issuing Credit Card in favour of an applicant to safeguard bank's interest and to maintain a standard practice to judge a customer. This document also suggests the compliances of the instructions of the governing bodies.

2 Credit Card

Credit Card is a unique consumer financial product that offers credit and provides the means of payment at the same time. Credit Card also facilitates charge free repayment period and repayment in installments. With that unique profile Credit Card has been the convenient means by which people around the world spends trillions of money.

3 Target Customer

- Salaried person
- Businessman
- Self-employed professional
- Person having reliable source of income

4 Eligibility

- TIN Certificate
- National ID
- Clean CIB Report
- Age: Above 18 – 60 years

The Age for supplementary card may be relaxed to 16 years for students who are directly dependent on the Principal Cardholder. (Reference: BRPD Circular No. 07, 11/05/2017) and Prudential Regulations for Consumer Financing First Edition 2004, page no. 67.

- Minimum six-months length of business in case of businessman or self employed
- Minimum Monthly Income:

Salaried person	: Tk. 25000
Businessman	: Tk. 50000
Self-employed professional	: Tk. 50000
Other	: Tk. 50000



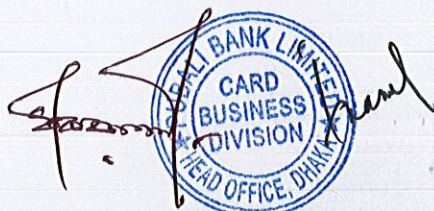


5 Product feature

Maximum Credit Limit (Principal + Supplementary)	Unsecured: Tk. 10,00,000 Secured: 80% of the cash collateral but not exceeding Tk. 25,00,000 <i>Reference: BRPD Circular No. 04 dated 03/04/2017</i>
Rate of Interest	17% per annum for general cardholder, 12% per annum for Pubali Bank Employees (subject to change from time to time)
Tenure	1 (One) year. Card will be automatically renewed unless revoked by the bank or requested by the customer if repayment is regular.
Repayment	Within the expiry. But need to pay monthly minimum payment amount @ 5% of the outstanding to revolve credit facility.
Card type wise maximum limit	Classic Card : Tk. 1,00,000 Gold Card : Above Tk. 1,00,000 to Tk. 2,00,000 Platinum Card : Above Tk. 2,00,000
Interest Free Period	If the entire amount is repaid within the payment due date no interest will be charged and thus the cardholder has the option of enjoying a free credit facility from 15 to 45 days depending on the date of transaction. However, this condition is not applicable for cash withdrawal.
Minimum Payment	5% of client current balance or BDT 500/USD 25 whichever is higher. If current balance is less than BDT 500/USD 25 minimum due amount is the current balance.
Late Payment	If minimum due is not paid within due date, a late payment fee will be charged.

6 Credit Worthiness Assessment

Debt Burden Ratio	Within 50%
Average Balance	5% (minimum payment) of proposed Credit Card Limit
Monthly Net Income	At least be 3 times of 5% (minimum payment) of proposed Credit Card Limit
Existing credit facility with Bank	In case of continuous loan, the yearly turn at least be 3 times of sanctioned credit limit.

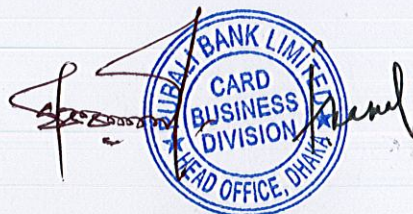

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7 Delegation for Approval for Consumer Credit Card

Sl.	Authority	Delegation
1	Branch Manager	- Any amount if fully covered by encashable security but not exceeding BDT 25.00 lac - Up to BDT 50,000 at 'Nil' security in the rank of Senior Principal Officer - Up to BDT 1,00,000 at 'Nil' security in the rank of Assistant General Manager - Up to BDT 1,50,000 at 'Nil' security in the rank of Deputy General Manager All under the purview of the policy, and recommended by other members of the Branch Credit Committee consisting of 3 (three) members including Branch Manager and in compliance with the Credit Risk Management Guidelines.
2	Regional Manager and Corporate Branch Manager	Up to BDT 3.00 lac at 'Nil' Security under the purview of the policy and recommended by the other members of the Regional Credit Committee and in compliance with the Credit Risk Management Guidelines.
3	Head of Card Business Division	Up to BDT 5.00 lac at 'Nil' Security under the purview of the policy and recommended by the other members of the Card Business Division Credit Committee and in compliance with the Credit Risk Management Guidelines.
4	Deputy Managing Director, Retail and CMSME	Above BDT 5.00 lac at 'Nil' Security under the purview of the policy and recommended by other members of the Committee of Retail and CMSME at Head Office and in compliance with the Credit Risk Management Guidelines.

- Any amount beyond the above delegation should be approved by the Deputy Managing Director, Retail and CMSME.
- Any proposal not under the purview of the policy should be approved by the Deputy Managing Director, Retail and CMSME.





8 Process flow

Delegation: Branch Manager and Corporate Branch Manager

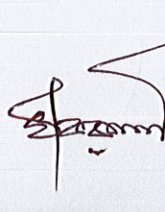
Step 1	Data input in PIBS for Credit Analysis by Branch
Step 2	Branch/Corporate Branch approves Credit
Step 3	Branch/ Corporate Branch issues Sanction Advice to Cardholder
Step 4	Branch/ Corporate Branch creates Loan Account in PIBS as per Sanction Advice
Step 5	Branch Manager/ Corporate Branch Manager approves Loan Account if everything is in order as per the Sanction Advice
Step 6	Card Business Division receives Card Requisition
Step 7	Card Business Division validates sanction is within delegation and policy
Step 8	Card Operation Division validates authenticity of the applicant profile, Credit Limit , loan documents as per the sanction and issues Card

Delegation: Regional Manager

Step 1	Data input in PIBS for Credit Analysis by Branch
Step 2	Branch forwards proposal to Regional Manager with recommendation
Step 3	Regional Manager approves Credit
Step 4	Regional Manager issues Sanction Advice to Branch Manager
Step 5	Branch issues Sanction Advice to Cardholder
Step 6	Branch creates Loan Account in PIBS as per Sanction Advice
Step 7	Branch Manager approves Loan Account if everything is in order as per the Sanction Advice
Step 8	Card Business Division receives Card Requisition
Step 9	Card Business Division validates sanction is within delegation and policy
Step 10	Card Operation Division validates authenticity of the applicant profile, Credit Limit , loan documents as per the sanction and issues Card

Delegation: Card Business Division

Step 1	Data input in PIBS for Credit Analysis by Branch
Step 2	a) Branch forwards proposal to Regional Manager with recommendation b) Corporate Branch forwards proposal to Card Business Division with recommendation
Step 3	a) Regional Manager forwards proposal to Card Business Division with recommendation b) Regional Manager forwards proposal to Principal Office (where applicable) c) Principal Office forwards proposal to Card Business Division with recommendation (where applicable)






Step 4	Head of Card Business Division approves Credit
Step 5	Card Business Division issues Sanction Advice to Branch Manager/Corporate Branch Manager with a copy to Regional Manager/Principal Office
Step 6	Branch/Corporate Branch issues Sanction Advice to Cardholder
Step 7	Branch/Corporate Branch creates Loan Account in PIBS as per Sanction Advice
Step 8	Branch Manager/Corporate Branch Manager approves Loan Account if everything is in order as per the Sanction Advice
Step 9	Card Business Division receives Card Requisition
Step 10	Card Business Division validates sanction is within delegation and policy
Step 11	Card Operation Division validates authenticity of the applicant profile, Credit Limit , loan documents as per the sanction and issues Card

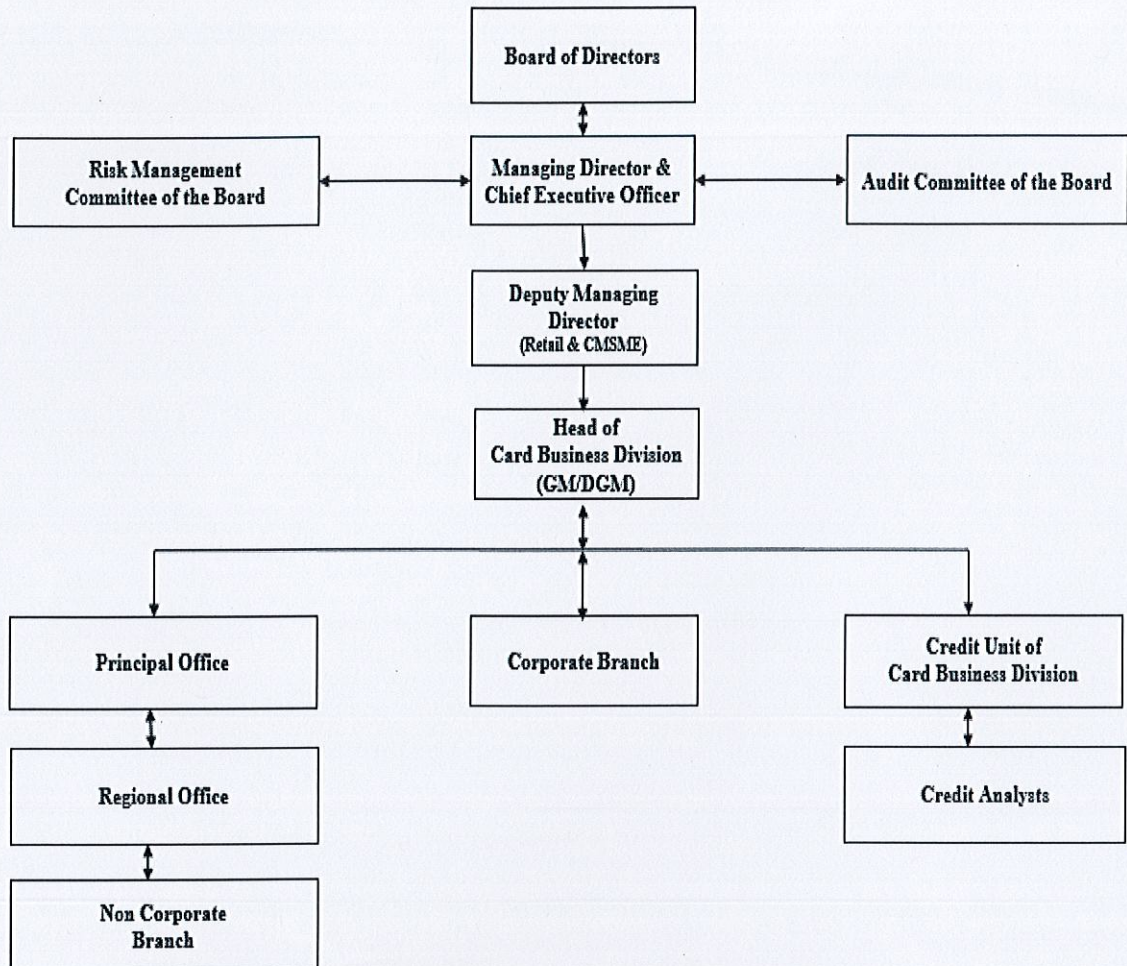
Delegation: Deputy Managing Director, Retail and CMSME

Step 1	Data input in PIBS for Credit Analysis by Branch
Step 2	a) Branch forwards proposal to Regional Manager with recommendation b) Corporate Branch forwards proposal to Card Business Division with recommendation
Step 3	a) Regional Manager forwards proposal to Card Business Division with recommendation b) Regional Manager forwards proposal to Principal Office (where applicable) c) Principal Office forwards proposal to Card Business Division with recommendation (where applicable)
Step 4	Card Business Division places the proposal to the Committee of Retail and CMSME
Step 5	Deputy Managing Director, Retail and CMSME approves Credit recommended by the committee
Step 6	Card Business Division issues Sanction Advice to Branch Manager/Corporate Branch Manager with a copy to Regional Manager/ Principal Office (where applicable)
Step 7	Branch/Corporate Branch issues Sanction Advice to Cardholder
Step 8	Branch/Corporate Branch creates Loan Account in PIBS as per Sanction Advice
Step 9	Branch Manager/Corporate Branch manager approves Loan Account if everything is in order as per the Sanction Advice
Step 10	Card Business Division receives Card Requisition
Step 11	Card Business Division validates sanction is within delegation and policy
Step 12	Card Operation Division validates authenticity of the applicant profile, Credit Limit, loan documents as per the sanction and issues Card





9 Organogram





10 Customer Profile Verification

10.1 Credit Score

Point Distribution Table:

Income

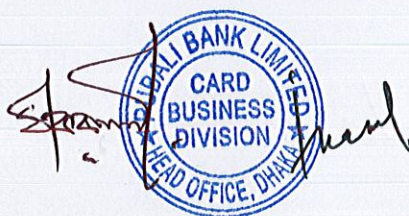
Income (BDT)	Point
25000 - 35000	18
35001 - 45000	19
45001 - 55000	20
55001 - 65000	21
65001 - 75000	22

Income (BDT)	Point
75001 - 85000	23
85001 - 95000	24
95001 - 115000	26
115001 - 135000	28
135001 - 155000	30

Income (BDT)	Point
155001 - 175000	32
175001 - 200000	34
200001 - 225000	36
225001 - 250000	38
250001 & above	40

Personal Details

Particular	Status	Point
Education	Post Graduate	5
	Graduate	4
	Under Graduate	0
Marital Status	Married	2
	Unmarried	1
	Other	0
Spouse's Employment	Yes	2
	No	0
Residential Status	Own House	4
	Own Flat	3
	Parent/Govt./Employer Provided	2
	Rental/Other	1
Ownership of Private Vehicle (Car/SUV)	Yes	1
	No	0
Landphone in own name	Yes	1
	No	0
Passport	Yes	2
	No	0
Club member	Yes	2
	No	0
Age	18-25	1
	26-35	2
	36-45	3
	46-55	2
	56-60	0





Other Details

Particular	Status	Point
Cardholder of other Bank/NBFI	Yes	2
	No	0
Account with Pubali Bank	Yes	2
	No	0
Salary Account with Pubali Bank	Yes	2
	No	0
Auto Debit Instruction	Yes	1
	No	0
Monthly average Balance in Bank Account (Last 6 Months) in BDT	Below 20000	1
	20001 - 30000	2
	30001 and above	3
Credit facility with Pubali Bank	Yes	2
	No	0
Debt Burden Ratio	0% - 25%	5
	26% - 35%	4
	36% - 40%	3
	41% - 50%	1
	51% and above	0

Employer Status

Particular	Status	Point
Salaried Person	High Job Security	4
	Medium Job Security	2
	Low Medium Job Security	1
Self-employed/Businessman	Large	4
	Medium	2
	Low Medium	1
Length of Service	Below 6 Months	0
	6 – 12 Months	1
	13 – 36 Months	2
	37 Months and above	3

Employment Hierarchy

Particular	Status	Point
Hierarchy	Top Level	10
	Mid Level	5
	Low Mid Level	3

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10.2 Credit Limit

Credit Score	Multiplication Factor X Gross Monthly Income
Less than 21	1.0
21 – 23	1.1
24 – 26	1.2
27 – 34	1.3
35 – 36	1.4
37 – 38	1.5
39 – 40	1.6
41 – 42	1.7
43 – 44	1.8
45 – 46	1.9
47 – 48	2.0
49 – 50	2.1
51 – 53	2.2
54 – 56	2.3
57 – 60	2.4
61 – 63	2.5
64 – 66	2.6
67 – 70	2.7
71 – 73	2.8
74 – 76	2.9
77 – 80	3.0
81 and above	3.1

Example:

If, Monthly Gross Income is Tk. 50000 and Credit Score is 50

Credit Limit = (GMI x Multiplication Factor) = (50000 x 2.1)

= Tk. 105000





10.3 Credit Limit Enhancement of existing Cardholder

Present Status of Card Account

All attributes of present status of Card Account must be 'Yes'.

Attribute	Status (Yes/No)
Within Expiry	
Outstanding within the limit	
No Delinquency in Current Cycle	
No Enhancement in Less than 6 Months	

Behavior Score

Characteristic	Behavior	Weight		Score
Years on Book	X Year X Months	0.5 per year (Max 2)		
Maximum aging in last 12 months		0-2	1	
		3-4	-1	
		4+	-3	
Repayment in last 12 months	Partial + Full	P+F	4	
	Partial	P	3	
	Full	F	2	
Usage of present limit	Medium	M	3	
	Full	F	2	
	Nominal	N	-1	

Credit Worthiness

Particular	Calculated	Remarks
Debt Burden Ratio		Acceptable
Net Income		Covers 3 times of proposed limit
Average Balance		Covers 5% of proposed limit

Limit Fixation

Present Limit (BDT)	Enhancement Criteria		Behavior Score	Allowable Limit (Max)
50000	Behavior Score	Present Limit x	8.5	125000
	10 - 9.1	3		
	9 - 8.1	2.5		
	8 - 6.5	2		
	6.4-5	1.5		

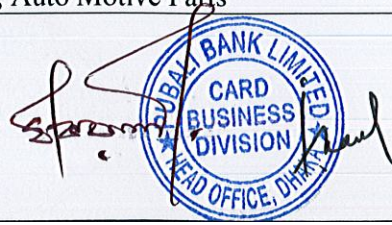




10.4 Industry wise Profit Margin

Standard set for assumption of Profit Margin for assessment of income

Sector	Nature of Business	Margin
Manufacturing Intermediary Products	Manufacturing Intermediary Products	
	Steel Re-Rolling	10%-15%
	Textile	5%-10%
	Readymade Garments backward linkage	10%-15%
	PVC Pipe/ Compound	5%-10%
	Cable/ Hardware Items	10%-15%
	Chemical Products	5%-10%
	Machine Tools/ Engineering works	10%-15%
	Fishing nets/ Fishing Equipments	10%-15%
	Other Intermediate Products	10%-15%
	Plastic Intermediate Products	5%-10%
	Brick Field	20%-25%
	Manufacturing- Consumer Products	
	Medicine	7%-10%
	Real Estate	10%-15%
	RMG-Local Market/ Shoes/ Hosiery	10%-15%
	Edible Oil	5%-7%
	Confectionary/ Food Items	15%-20%
	Lubricant	5%-7%
	Light Shades	12%-15%
	Audio Tape, VCD	25%-30%
	Plastic Goods	10%-15%
	Watch	15%-20%
	Electronic Goods	15%-20%
	Toiletries/ Cosmetics	15%-20%
	Umbrella	10%-15%
	Bi-Cycle	10%-15%
	Steel Furniture	15%-20%
	LP Gas	10%-15%
	Other Consumer Products	15%-20%
Importer & Whole- seller	Importer & Wholesaler- Intermediary Products	
	Coal	7%-10%
	Chemical Dye	5%-7%
	PVC Material	3%-5%
	Water Pump, Generator, Agri Tools	10%-15%
	Medical Equipment	15%-20%
	Office Equipment	5%-7%
	Other Importers	5% -10%
	Tire, Auto Motive Parts	10%-15%





Sector	Nature of Business	Margin
	Importer & Wholesaler Retail Products	
	Textile	7%-10%
	Fruits	10%-15%
	Medicine	15%-20%
	Bathroom Fittings & Sanitary Items	15%-20%
	Food Commodity	2%-5%
	Tiles and Mosaic	10%-15%
	Other Importers	5% - 10%
Exporter	Ready Made Garments	20%-25%
	Jute/ Jute Goods	15%-20%
	Tea	10%-15%
	Sea food/hatchery	25%-30%
	Leather / Leather Goods /Tannery	10%-15%
	Vegetable	10%-15%
	Other Products	10%-15%
Wholesaler	Whole-seller-Intermediary Products	
	Raw Leather	5%-10%
	Teak, Saw Mill	5%-10%
	Hardware	5%-8%
	BR- Sheet, CI Sheet	3%-7%
	Construction Material (Rod, Cement, etc.)	3%-5%
	Yarn	2%-5%
	Other Products	3%- 5%
	Whole-seller-Consumer Products	
	Food Commodity-Whole Seller & Stock List	3%-5%
	Motor/Cycle/CNG Parts	10%-15%
	Paper, Stationary	7%-10%
	Electric Goods(Switch, Bulb, etc.)	10%-15%
	Cloth/Shoe	15%-20%
	Cosmetics	10%-15%
	Iron Item	5%-7%
	Crockery	10%-15%
	Hosiery Item	10%-12%
	Rice	7%
	Medicine	7%
	Grocery	5%-8%
	Other Products	5%-7%
Retailer	Ready Made Garments	10%-15%
	Sari	10%-15%
	Textile	10%-15%
	Shoe	15%-20%
	Shoe Material	10%-15%
	Curtain, Foam, Mattress	7%-10%





Sector	Nature of Business	Margin
	Optical	20%-25%
	Tailor	20%-25%
	Motor Parts/ Car Accessories	20%-25%
	Car	5%-10
	Furniture	10%-15%
	Electronics/Mobile Phones	7%-10%
	Mobile Accessories	8%-12%
	Computer/Computer Accessories	3%-8%
	Computer Servicing	10%-15%
	Watch	10%-15%
	Cassette, CD, DVD	5%-10%
	Light Shade	15%-20%
	Hosiery Item	10%-15%
	Jewellery	10%-15%
	Steel Product(Furniture and Others)	1%-5%
	Book & Stationary	10%-15%
	Color Lab & Photo Studio/ Video recording	20%-25%
	Super market/ Departmental Store/ Gift Shop	7%-10%
	Super market/ Departmental Store	5%-7%
	Gift Shop	10%-15%
	Sweetmeat /Confectionary	15%-20%
	Cosmetics	15%-20%
	Plastic Toys	20%-25%
	Crockery	25%-30%
	Glass, Mirror	5%-10%
	Sports goods	15%-20%
	Pharmacy	5%-7%
	Chemical	10%-12%
	Lubricant	5%-7%
	Tiles and Mosaic	8%-12%
	Grocery	8%-10%
	Plywood and Partex	10%-12%
	Medical Equipment	10%-12%
	Thread Item	7%-8%
	Leather Goods	10%-12%
	Spare Parts	12%-15%
	Equipment(Agri and Office)	10%-12%
	Seed item	8%-12%
	Scrap Business	3%-5%
	Plastic raw dana	5%-7%
	Baby item (Wear and Toy)	10%-12%
	Cycle and Cycle parts	12%-15%
	Hardware	10%-12%

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Sector	Nature of Business	Margin
	Paint Item	8%-10%
	Iron Sheet	6%-7%
	Cloth/Shoe	15%-20%
	Other Products	10%- 15%
	Commission Agent/ Dealer/ Broker	
Service Sector	Dealer of Paints	5%-7%
	Contractor, Construction Company	10%-15%
	Buying House	10%-15%
	Travel Agent	5%-7%
	Distributor/ Dealer/ Agent of FMCG	5%-7%
	Indenter	5%-10%
	Supplier	5%-10%
	Share Broker	3%-5%
	Recruiting Agent	5%-10%
	CNF Agent/ Freight Forwarding	5%-10%
	Stevedoring	5%-10%
	Tire & Battery	5%-7%
	Dealer Ceramics Ware	7%-10%
	Petrol Pump	1%
	Supplier Of Poultry Feed	5%-10%
	Distributor (Other Product)	3%-5%
	Service Provider	
	Stone Crusher	5%-10%
	Auto Servicing Center	15%-20%
	Owner Of Residential Hotel/Guest House	15%-20%
	Restaurant & Fast Food	10%-15%
	Printing & Publishing	20%-25%
	Audio Recording Company	10%-15%
	Film/ Package Producer	15%-20%
	Coaching Center/ Computer Education	15%-20%
	Beauty Saloon	20%-25%
	Courier Service	15%-20%
	Transport Business	10%-15%
	Owner Of Clinic, Diagnostic Center, Pvt. Hospital	20%-25%
	Security Service/ Out Source Service provider	15%-20%
	Ad Agency/ Outdoor Advertising Agency	15%-20%
	Owner Of Private University	20%-25%
	Internet Service Provider	5%-10%
	Entertainment Service(Club, Theme Park)	15%-20%
	Student Counselling	15%-20%
	Software/ Networking	10%-15%
	Owner Of Community Center	15%-20%
	Owner Of Business Center	10%-15%

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Sector	Nature of Business	Margin
	Aluminium Fabricator	10%-15%
	Installation Of Commercial Air Conditioning System	10%-15%
	Surveyor	25%-30%
	Rice/ Flour Mill	5%-7%
	Interior Designer	15%-20%
	Other Service Provider	10%-15%
Agricultural & Fisheries	Producer Of Jute Goods	15%-20%
	Tea Planter	15%-20%
	Seed Grower, Importer & Distributor	10%-15%
	Poultry Producer	15%-20%
	Poultry Feed Producer	10%-15%
	Dairy	15%-20%
	Fisheries	15%-20%
Professional Category	Doctors	50%
	Engineers	10%-15%
	Architects	50%
	Accountants	25%-30%
	Consultants	25%-30%
	Lawyer	50%

10.5 Calculation of Average Balance

In order to determine good, indicative average balance, averaging over the full 30 day's balance of an account is necessary. 30 days' total will then be divided by 30. The outcome will be termed average balance for that month. However, depending on the transaction types and account statements average balance calculation method may differ but with due diligence.

10.6 Calculation of Debt Burden Ratio (DBR)

DBR = [Monthly Loan Installments (Existing, if any)/Monthly income] X100

Example:

- I. Mr. 'A' has a personal loan with 'X' Bank, the monthly installment size of which is Tk. 3500/-
 - II. Mr. 'A' has 'Y' Bank Credit Card with outstanding balance of Tk. 1.0 lac & monthly minimum payment is Tk. 5000/- (being 5% of total outstanding).
 - III. Mr. 'A's' monthly gross income is Tk. 30,000/-.
- DBR of Mr. A = $(3500+5000)/30,000 \times 100$
= 28.33%





10.7 Determination of Income and assessment policy

A) Salaried Executives:

Gross Salary = Consolidated monthly salary

Income from other sources (e.g. rental income, interest income, director's remuneration, spouse's income etc.) will be added to monthly net income provided that the customer is able to submit documentary evidence of the same for at least last three months. 80% of other income to be added to Gross Salary.

Monthly Gross Income = Gross monthly Salary + Income from other sources

Salaried Executive's net income: There will generally be only one credit entry in the account of the salaried executives which is the salary for that particular month. This is generally the net income of that executive if there is no income from other sources available.

When salary is paid in cash: If the executive is paid his salary in cash, 30% of the salary should be reflected in his / her account in the form of credit balance. If not, bank will not entertain such cases.

Statement Checking: For salaried executives, statement is checked mainly to determine regularity of salary credit, to see if salary credited is in line with Letter of Introduction's salary claimed and also to find out if there are any undeclared other loan deductions.

Average balance: The concept of determining "average balance" and taking credit decisions on that basis will not apply for Salaried Executives.

B) Businessman/Self Employed

Income for Business Account

Income = Average monthly credit turnover x industry wise profit margin percentile. The outcome of this formula is then adjudged as 'income' for an individual as per the business ownership documents (the share percentile of that individual over the whole business).

In other words,

Monthly credit turnover = Average summation of total monthly credits over a minimum 6-months period

Revenue = Average monthly credit turnover x industry wise profit margin

Income = % of revenue as per ownership documents





10.8 Different types of Bank Account and assessment

- I. Personal account
- II. Proprietorship account
- III. Partnership account
- IV. Private Limited Company account

Personal accounts: Account must be in single name or joint names with spouse.

Partnership and Limited Company accounts: To derive an individual's income from a company account, applicant's percentage of ownership will be considered. For business accounts with credit facilities (CC or project loan), firstly the company's liabilities are deducted from the gross monthly credit turnover. Then the net figure is apportioned to the applicant as per his/her share in the business.

Public Limited Company for Credit Card Facility

Under no circumstances the credit decision can be taken based on the assessment of bank statements of a public limited company so far Credit Card is concerned. Credit Card for Directors / shareholders of a public limited company must be assessed against that individual's personal bank accounts, not against the company accounts.

Rationale:

There are lots of customers who tend to transact heavily due to their nature of business. Because of this substantial transaction a considerable number of deposits are being observed in their account which may lead to not so strong average balance. But their average credit turnover remains very high due to the number of deposits. It has also been observed that businessmen do not tend to keep their fund idle and to rotate funds to generate more revenue.

- For business A/C, transaction in the A/C must match with the nature of business. An a/c with sufficient average balance may not be considered if the a/c transaction doesn't match with the nature of the business.
- Latest 6 to-12 months credit turnover and average balance will be considered. However, latest 6 months average credit turnover and average balance will be taken for account with declining trend of credits or balance.
- Any extra ordinary credit volume of a particular month will not be considered that may have arisen out of a non business transaction like sale of property, liquidation of security etc.
- A maximum of one inward clearing cheque return for insufficient fund is allowed over a month period.





10.9 Determination of Income from OD/CC Account

Assessment formula for OD accounts is same as non-OD accounts detailed above. However, when we are assessing income from OD account, we must be careful about considering the credit balance of applicant's any other personal account for income assessment purpose. This is because, the applicant may have a good credit balance in his / her personal account by making debits to the OD account and then depositing that money into his / her personal non-OD accounts.

OD Account's Interest:

Monthly Interest of an OD account will be deducted from income derived from that account. This is to arrive at a more realistic monthly income; and this OD 'interest' portion is also to be taken note of while calculating DBR.

To determine the OD interest commitment / expense per month, the bank will take the average of last 3 to 4 quarter's actual quarterly interest payment and then arrive at a monthly figure by dividing it by 3.

- Account swing of the overdrawn balance is to be observed.
- Account discipline of the overdraft account is to be observed. Overdrawn is allowed only for 30 days after application of quarterly interest in the a/c.
- Any extra ordinary credit volume of a particular month will not be considered because that may have arisen out of a non business transaction like sale of property, liquidation of security etc.
- Latest 6 to 12 months credit turnover and average balance will be considered. However, latest 6 months average credit turnover and average balance will be taken for a/c with declining trend of credits or balance.
- A maximum of one inward clearing cheque return for insufficient fund is allowed over a month period.
- Trend of average monthly credit turnover and nature of transaction to be matched with nature of business.

10.10 Determination of Income of Property Owner

There are lots of Landlords/Landladies who sometimes deal in cash and thus their financial worth is not truly reflected in their bank statements, but they are solvent & have credit worthiness. They also have demonstrated satisfactory repayment behavior in different times. The basic quest of credit is to find out the ability and willingness of a customer to repay the loan.

Rental income = Declared rental income supported by the rental agreement & verified.





- At least 25% of declared rental income should be reflected in the account statement.
- 100% of declared rental income should be reflected in the account, when property has been rented out to any large/medium local corporate or multinational organization.
- Valid rental agreement should be provided.
- Valid ownership document should be provided, such as latest municipal tax payment receipt/electricity bill etc.
- Copy of rent receipt should be provided.

10.11 Determination of Income of a Self Employed Professional

There are lots of self-employed professionals like doctor, engineer, lawyer etc. who deal in cash and thus their financial worth is not truly reflected in their bank statement, but they are socially renowned & earn a handsome amount from consulting practice. They also have demonstrated satisfactory repayment behavior earlier.

Self-employed professional's net income = Up to 75% of average credit turnover in his personal account.

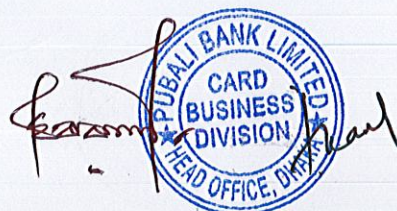
Credit Turnover = Summation of monthly credits.

Prudential judgment should be applied whether transaction volumes and amounts match professional income and expenditure.

Rationale:

The amounts that are credited to the personal account of professionals form their income. To consider only the credits as income is a conservative approach considering that not all the cash received, is deposited in the account. In other words, some of the cash received is spent for daily expenses, thus not reflected in the bank statement. The method considers 25% of the total monthly credits as his establishment expenses like rent of premises, utility and salary of the employees. Thus the rest 75% can be considered as his net monthly income.

- Copy of professional certificate should be provided.
- Extra ordinary credit that may have arisen out of non-practice like sale of property, liquidation of security or transfer from another account etc will not be taken into consideration.





10.12 Required Documents

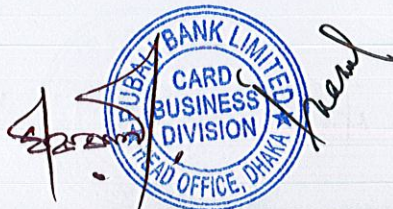
Filled in application form
One copy of passport size photograph of the applicant
One copy of supplementary cardholder's photograph and NID
Photocopy of TIN certificate
Photocopy of Voter ID/National ID
Salary certificate issued by employer (if salaried)
Bank account statement for last one year
Proof of residence i.e., copy of utility bill
Photocopy of Passport (if any)
Visiting Card (if any)
Undertaking regarding existing loan facility
CIB Undertaking
Standard Charge Document

10.13 Precautions

- Similarity of name, father's name, mother's name, spouse's name in application form, TIN, NID, Passport, Account Statement, CIB report
- Similarity of present address and permanent address in application form, TIN, NID, Passport, Account Statement
- Similarity of date of birth in application form, TIN, NID, Passport
- Similarity of signature in application form, NID, Passport, cheque
- Duplication verification by name and date of birth
- Checking with negative list
- Similarity of name and account number in cheque and account statement
- Whether any pay slip signed on holiday
- Whether any transaction (except ATM) in account statement on holiday
- Account history checking: $\text{Closing Balance} = \text{Opening balance/B F Balance} + \text{Total Credit} - \text{Total Debit}$
- Whether photocopy of Office Id, NID contains the sign of lamination
- Contact Point Verification should be made first with the In-charge of the applicant's Office and through PABX phone number. Branch Office phone number should be confirmed by Head Office.
- Cheque leaf should be verified by fake detecting machine

10.14 Duplication Check

All approved applications must be checked against Banks database to identify whether the applicant is availing any other loan in other account apart from the declared loans. It must also be checked whether the applicant has a credit card with our bank and whether any payment is at default.





10.15 Negative listing

Two negative files - one listing the individuals and the other listing the employers - are to be maintained to ensure that individual with bad history and dubious integrity and employers with high delinquency rate do not get personal loan from the bank.

11 International Card

Personal Travel Quota Entitlement

International Credit Card may be issued against the Annual Travel Quota entitlement of each Bangladeshi citizen. The present maximum entitlement is \$12000.00. Therefore, maximum limit for Credit Card under travel quota entitlement will be set within the unspent amount of entitlement in the relative calendar year.

RFCD Account Entitlement

International Credit Card may be issued against the balance held in Resident Foreign Currency Deposit (RFCD) Account by authorized dealers in Bangladesh. Limit of such card will be allowed equivalent to balance under lien in the RFCD Account. Payment against International Credit Card must be made by the cardholder from his RFCD account out of the available fund in excess of the balance under lien. Balance under lien cannot be released as long as the cardholder retains the card.

ERQ Account Entitlement

International Credit Card may be issued against the balance held in Exporter's Retention Quota (ERQ) Foreign Currency Account by authorized dealers in Bangladesh. Limit of such card will be allowed equivalent to balance under lien in the ERQ Account. Payment against International Credit Card must be made by the cardholder from ERQ account out of the available fund in excess of the balance under lien. Balance under lien cannot be released as long as the cardholder retains the card. International Credit Cards may be issued in favour of up to 3 (three) top level executives of an exporting firm/organization holding ERQ Account. An exporting firm/organization may avail of the card facility from one card issuing company only. An individual can avail himself of only 1 (one) International Card against the same entitlement or account.

Business Travel Quota

International Credit Card may be issued against Business Travel Quota Entitlement for new exporters, manufacturers for domestic markets and imports. The entitlement is USD 400 per diem, subject to limits of USD 4000 per trip and USD 10000 over a calendar year. Senior level (top two tiers) expatriate foreign nationals employed in business organizations in Bangladesh with valid work permits and Visas are entitled to the same as Bangladeshi nationals.

References

FE Circular No. 30 dated 25/07/2019

BRPD Circular No. 07 dated 11/05/2017

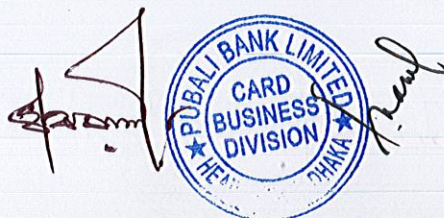
FE Circular No. 11 dated 10/03/2014





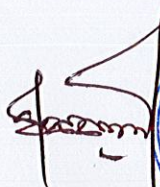
12 Risk Mitigation

Definition	Mitigated by	Controls
A. Credit Risk: Credit Initiation Risk of Authenticity of Information and Validation of Documents.	Pre-screening	Application form checked for proper completion. Income documents scrutinized for authenticity and adequacy. Application checked for presence in previously declined database. Application checked for presence in existing defaulter list. Application checked for Pubali Bank account relationship (if disclosed)
	KYC (Know Your Customer)	Residence address and Office/Business addresses verification. Employment verification through employment certificate. For businessman, copy of trade license, certificate of Incorporation, memorandum and Article of Association, Partnership deed etc is sighted. TIN (Tax Payers' Identification Number) certificate.
	Ascertaining applicant's multiple/existing cards relationship	From Cards Application processing System multiple/existing cards relationship are checked according to Applicant's name, Mothers name, Phone numbers etc.
	Compliance with Credit policies/product programs	All applications are approved manually within the documented credit policies only
	Ascertaining customer's willingness to repay	This is always difficult and in most cases, impossible. However, for customers with existing borrowing relationship or credit card with us, we get an indication of his repayment intention.
	Maintaining the maximum exposure per customer	Exposure per customer is capped on the basis of DB ratio and income multiples. Income multiples allowed varies with the perceived risk of different customer segments.
	Segregation of responsibilities	Approval and data input, card & PIN production functions are independent. Approval is the responsibility of credit and data input, card & PIN production is the responsibility of cards Operation





Definition	Mitigated by	Controls
B. Data input & Card production	Control of Access & securities	Restricted access to certain important areas/functions to ensure adequate control and security e.g. card embossing, dispatch and supervisory access into the core card processing system. Besides, all staff is only given the minimum required level of access into the system to perform their departmental functions properly. Dual controls e.g. plastic custody, card destruction, access into the system for parameter changes etc. Card is sent to the branch and PIN is sent directly client's authorize mobile number through SMS. Customer collects the Credit Card from issuing branch. Card activation process is based on randomizing the customers ID check e.g. date of birth, Mother's/Father's name, address, residence/ cell phone number etc by issuing branch/Call Center.
	Safeguarding of documents	All signed customer document will be maintained by Card official in fire proof archival under dual control.
	Delegation of authority	Card official will ensure that all the underwritings are approved by person according to delegation of authority.
C. Authorization	Support and back up to provide authorization	We are following online parameter to authorize and monitor for both local and international cards by Regional Office and Head Office.
D. Market Risk	Changes in the political/ economic performance that could affect the portfolio	Since the last general election, Bangladesh has been enjoying a fairly stable political environment. Likely hood of any disruption in political stability in the foreseen future is remote. The economy has been attempting to recover from the shock of the COVID-19 pandemic situation. The challenges we may face include: Declining market interest rates, Increasing non-performing default rates, demolition of employment and different business sectors etc. The GDP growth rate is projected at around 7.50%.
E. Interest Rate Risk	Risk arising from change in interest rate	The credit card agreement stipulates that one month's notice must be served prior to effect any changes in pricing. We have been maintaining stable interest rate so far.






13 Disbursement

Card Business Division will check the loan account created by the Branch, validate data input in the loan account, contact the applicant, check documentation and will request the Card Operation Division to issue Card after if everything found in order.

13.1 Card Business Division

After receiving Credit Card Requisition from the Branch, Card Business Division will ensure the following:

- a. Sanction is within the delegation of the concerned authority
- b. Sanction is within the purview of the Product Program Guideline
- c. Loan Account created as per sanction advice
- d. All the necessary data is available in the Loan Account
- e. Necessary documents are tick marked in the document checklist

13.2 Card Operation Division

Before Issuing of Credit Card, Card Operation Division will ensure the following:

- a. Credit Limit is as per the Sanction Advice
- b. Validation of Contact Numbers, Customer Information Data, Reference Information Data, Guarantor Information Data (if any), Spouse Information Data (if any) by way of contacting over phone.
- c. Necessary loan documents including charge documents are in possession with the Branch.
- d. All relevant Data Fields are available and in good order to generate the Card.

14 Conclusion

This Product Program guideline is developed to administer consumer Credit Card in a compliant and secured way for sustainable growth of the business. This guideline is developed based on the existing guidelines of Bangladesh Bank and regulatory authorities of the country and practices in the industry. This guideline is meant to be followed while issuance of consumer Credit Card. Any new circular, guideline and instructions of Bangladesh Bank or regulatory authority and Bank Management will automatically become integral part of this guideline

